



NEWS RELEASE

FOR IMMEDIATE RELEASE

Contura Announces Third Quarter and Year-to-Date Results

BRISTOL, Tenn., November 27, 2017 - Contura Energy, Inc., a leading U.S. coal supplier, today reported results for the third quarter and year-to-date through September 30, 2017.

Highlights include:

- ***Net Income of \$10 million for the third quarter and \$58 million for the year-to-date period***
- ***Adjusted EBITDA of \$51 million for the third quarter and \$255 million year-to-date***
- ***Paid \$100.7 million in special dividend and equivalents in mid-July***
- ***Eliminated approximately \$70 million (at face value) of acquisition-related contingent obligations***
- ***Extended tender offer expiration to December 15, 2017***

(millions, except per share)

	Third Quarter 2017	Year to Date 2017
Coal revenues	\$417.9	\$1,367.6
Net Income	\$10.2	\$57.9
Net Income per diluted share	\$0.93	\$5.34
Adjusted EBITDA ¹	\$50.7	\$255.4
Operating cash flow	\$73.2	\$245.9
Capital expenditures	\$20.9	\$56.4
Tons of coal sold	12.8	36.7

“Despite some temporary production challenges due to difficult geology at our Cumberland longwall mine in Northern Appalachia, we remained focused this past quarter on operating safe, productive mines, growing our profitable Trading and Logistics segment, and delivering shareholder value through dividends and share buybacks,” said Kevin Crutchfield, chief executive officer. “During the third quarter, we returned more than \$100 million to our shareholders in the form of a special dividend and equivalent, and initiated a tender offer to repurchase up to \$31.8 million of common stock. The company continues to pursue accretive shareholder actions.”

¹ These are non-GAAP financial measures. A reconciliation of net loss to adjusted EBITDA is included in tables accompanying the financial schedules. Contura is modifying its Adjusted EBITDA calculation to add back accretion expense, a non-cash expense.

Financial Performance

- Coal revenues in the third quarter were \$417.9 million, with Central Appalachia (CAPP) accounting for \$108.6 million and Trading and Logistics accounting for \$144.9 million. On the thermal side, Northern Appalachia (NAPP) revenue totaled \$65.7 million and the Powder River Basin (PRB) generated \$98.8 million in coal sales. Freight and handling revenues and other revenues were \$61.5 million and \$3.5 million, respectively, in the third quarter.

CAPP coal shipments for the third quarter were 1.0 million tons at an average per-ton realization of \$105.86. Contura shipped 9.0 million tons of PRB coal during the quarter at an average per-ton realization of \$11.02, while NAPP shipments totaled 1.5 million tons at an average per-ton realization of \$44.57. NAPP volumes were reduced due to a roof fall at the Cumberland underground longwall mine in mid-September. Full production resumed in mid-October and the company believes the production issues have been successfully mitigated. In the Trading and Logistics segment, 1.3 million tons of coal were shipped at an average price of \$112.48 per ton.

For the year-to-date period through September 30, 2017, CAPP metallurgical coal shipments were 3.1 million tons at an average per-ton realization of \$119.90. Contura shipped 24.5 million tons of PRB coal at an average per-ton realization of \$10.94 through end of September, while NAPP shipments totaled 5.5 million tons at an average per-ton realization of \$43.67. In the Trading and Logistics segment, 3.6 million tons of coal were shipped at an average price of \$135.24 per ton.

- Total costs and expenses during the third quarter were \$469.3 million and cost of coal sales was \$358.6 million. The cost of coal sales in CAPP for the quarter averaged \$74.10 per ton, including \$1.92 per ton in idle costs. NAPP costs at \$44.54 per ton were elevated due to the aforementioned roof fall, which impacted production during the last two weeks of the quarter. NAPP costs included idle costs of \$1.37 per ton. The cost of coal sales for the PRB mines was \$9.77 per ton during the third quarter. In the Trading and Logistics segment, the cost of coal sales during the third quarter was \$100.45 per ton.

Total costs and expenses year-to-date were \$1.44 billion and cost of coal sales was \$1.09 billion. The cost of coal sales in CAPP averaged \$74.06 per ton for the year-to-date period, while NAPP costs averaged \$34.72 through the end of September. The cost of coal sales for the PRB mines for the same period was \$10.02 per ton. In the Trading and Logistics segment, the cost of coal sales year-to-date was \$116.77 per ton.

- Selling, general and administrative (SG&A) expenses for the third quarter were \$15.9 million, which includes approximately \$5.0 million in non-cash stock compensation and \$1.7 million of charges related to the company's incentive bonus plans. Depreciation, depletion and amortization was \$15.2 million during the third quarter and amortization of acquired intangibles was \$14.9 million.

SG&A expenses for the year-to-date period were \$56.1 million, which includes approximately \$4.0 million of non-recurring expenses associated primarily with the company's filing of a registration statement with the Securities and Exchange Commission (SEC), approximately \$11.3 million in stock compensation and approximately \$5.1 million of charges related to the company's incentive bonus plans. The SG&A expenses also include approximately \$9.1 million in expenses incurred in

connection with the payout of the special dividend (in addition to \$0.5 million of expenses recorded in cost of coal sales), comprised of \$7.6 million of dividend equivalent payments and approximately \$1.5 million of professional fees related to the special dividend. Approximately \$1.5 million of business development expense is also included. Depreciation, depletion and amortization during the year-to-date period was \$49.4 million and amortization of acquired intangibles was \$49.1 million.

- Contura recorded a net income of \$10.2 million, or \$0.93 per diluted share for the third quarter and \$57.9 million, or \$5.34 per diluted share year-to-date.
- Adjusted EBITDA was \$50.7 million for the quarter, excluding accretion expense of \$5.5 million, secondary offering costs of \$1.1 million and a \$0.8 million mark-to-market adjustment for acquisition-related obligations. Adverse geologic conditions and the resulting roof fall at the Cumberland underground longwall mine in NAPP had an estimated third quarter EBITDA impact of approximately \$18 million, compared to our expected results.

Year-to-date, Adjusted EBITDA was \$255.4 million, excluding a \$38.7 million loss on early extinguishment of debt, \$16.6 million accretion expense, \$9.6 million expense related to the payout of the special dividend, \$9.2 million gain on settlement of acquisition-related obligations, \$4.5 million in secondary offering costs and a \$3.2 million mark-to-market adjustment for acquisition related obligations. Contura is modifying its Adjusted EBITDA calculation to add back accretion expense, a non-cash expense, in order to conform with peer reporting methodology.

Liquidity and Capital Resources

Cash provided by operating activities for the third quarter and year-to-date were \$73.2 million and \$245.9 million, respectively. Capital expenditures for the third quarter and year-to-date were \$20.9 million and \$56.4 million, respectively.

At the end of September, Contura had \$173.5 million in unrestricted cash. Total long-term debt, including the current portion of long-term debt as of September 30, 2017, was approximately \$375.2 million. At the end of September, the company had total liquidity of \$287.2 million, including cash and cash equivalents of \$173.5 million and \$113.7 million unused commitments available under the Asset-Based Revolving Credit Facility.

During the third quarter, the company paid \$100.7 million in special dividend and dividend equivalent payments. In September, Contura repurchased \$17.4 million of its common stock shares at \$56.40 per share. On November 6, 2017, the company extended to December 15, 2017 the expiration of its previously announced tender offer to repurchase an additional \$31.8 million of its common stock.

Acquisition-related Liabilities Eliminated

Earlier this month, Contura also announced reduced liability obligations associated with its prior acquisition of certain core coal assets from Alpha Natural Resources on July 26, 2016. On October 24, 2017, Alpha announced the completion of a transaction with Lexington Coal Company (LCC),

which included the transfer by Alpha to LCC of certain idle and non-active assets and other real and personal properties located in Kentucky, Tennessee and West Virginia.

As a result of that transaction, Contura eliminated approximately \$35 million of Contingent Reclamation Funding liabilities, which had already been reduced from a face value of \$50 million at the time of the acquisition. In addition, the Contingent Credit Support Commitment, under which Contura provided to Alpha borrowing capacity of \$35 million, was terminated. Lastly, approximately \$2.8 million in cash was released from restricted cash to operating cash on Contura's balance sheet.

2017 Full-Year Guidance

Contura is maintaining its recently updated guidance. As previously announced, the company expects total shipments to be in the range of 45.2 to 49.4 million tons across all operations, including 3.7 to 4.1 million tons of captive CAPP coal and 30 to 33 million tons of PRB coal. Contura reduced its NAPP shipment guidance to 6.9 to 7.3 million tons, due to temporary production delays resulting from the previously referenced roof fall at its Cumberland underground longwall mine in Greene County, Pennsylvania. The company believes the issue has been successfully mitigated. Full production resumed at Cumberland in mid-October.

In addition, total shipments through the company's Trading and Logistics segment are expected to be between 4.6 million and 5.0 million tons in 2017.

As of October 25, 2017, 85% of the midpoint of anticipated 2017 CAPP coal shipments were committed and priced at an average expected per-ton realization of \$119.39, with the remaining 15% committed under an indexed pricing model. Based on the midpoint of guidance, 100% of anticipated 2017 NAPP steam coal shipments were committed and priced at an average expected per-ton realization of \$43.79, and 99% of the midpoint of anticipated 2017 PRB shipments were committed and priced at an average expected per-ton realization of \$10.92.

Contura expects its 2017 CAPP cost of coal sales per ton to range from \$72.00 to \$74.00. PRB cost of coal sales per ton is estimated at a range of \$9.50 to \$10.50, and NAPP between \$33.00 and \$37.00 per ton due to the aforementioned production delay. Additionally, costs related to the company's idle operations are expected to be between \$13 million and \$15 million for full-year 2017.

Capital expenditures estimates for 2017 are in a range of \$80 million to \$90 million, while SG&A guidance is estimated at \$35 million to \$38 million, excluding one-time and non-recurring items. Depreciation, depletion and amortization for 2017 is expected to be between \$60 million and \$80 million. The company expects 2017 cash interest expense to be between \$38 million and \$41 million. The cash interest expense reflects \$19.25 million of cash interest payments that occurred in 2017, of which \$12.9 million were accrued in 2016. These secured Contura notes were refinanced in March 2017 with a lower cost term loan credit facility. The company expects fourth quarter cash interest expense at approximately the current run-rate of \$6.25 million per quarter.

<i>in millions of tons</i>	Low	High
CAPP	3.7	4.1
NAPP	6.9	7.3
PRB	30.0	33.0
Total Production	40.6	44.4
Contura Trading & Logistics	4.6	5.0
Total Shipments	45.2	49.4

<i>Committed/Priced^{1,2,3}</i>	Committed	Average Price
CAPP ⁴	85%	\$119.39
NAPP	100%	\$43.79
PRB	99%	\$10.92

<i>Committed/Indexed^{1,3}</i>	Committed
CAPP ⁴	15%

<i>Costs per ton</i>	Low	High
CAPP	\$72.00	\$74.00
NAPP	\$33.00	\$37.00
PRB	\$9.50	\$10.50

<i>Margin per ton</i>	Low	High
Contura Trading & Logistics	\$12	\$16

<i>In millions (except taxes)</i>	Low	High
SG&A ⁵	\$35	\$38
Idle Operations Expense	\$13	\$15
Cash Interest Expense	\$38	\$41
DD&A	\$60	\$80
Capital Expenditures	\$80	\$90
Tax Rate	10%	20%

Notes:

1. Based on committed and priced coal shipments as of October 25, 2017. Committed percentage based on the midpoint of shipment guidance range.
2. Actual average per ton realizations on committed and priced tons recognized in future periods may vary based on actual freight expense in future periods relative to assumed freight expense embedded in projected average per-ton realizations.
3. Includes estimates of future coal shipments based upon contract terms and anticipated delivery schedules. Actual coal shipments may vary from these estimates.
4. CAPP committed tons and price information represent captive Contura production and does not include Trading and Logistics.
5. Excludes expenses related to the company's previous filing of a registration statement with the SEC, company formation expenses including non-cash stock compensation from formation-related stock plans, accrual of incentive bonus, costs associated with the special dividend, and non-recurring business development expenses.

Additional Information

For additional financial information about Contura, please visit www.conturaenergy.com/financials.

ABOUT CONTURA ENERGY

Contura Energy is a private, Tennessee-based, diversified coal supplier with affiliate mining operations across multiple major coal basins in Pennsylvania, Virginia, West Virginia and Wyoming. With customers across the globe, high-quality reserves and significant port capacity, Contura Energy reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. For more information, visit www.conturaenergy.com.

FORWARD-LOOKING STATEMENTS

This news release includes forward-looking statements. These forward-looking statements are based on Contura's expectations and beliefs concerning future events and involve risks and uncertainties that may cause actual results to differ materially from current expectations. These factors are difficult to predict accurately and may be beyond Contura's control. You should review the risks and uncertainties discussed in the company's condensed consolidated financial statements and report for the period ended September 30, 2017, which are available on our website. Forward-looking statements in this news release or elsewhere speak only as of the date made. New uncertainties and risks arise from time to time, and it is impossible for Contura to predict these events or how they may affect Contura. Except as required by law, Contura has no duty to, and does not intend to, update or revise the forward-looking statements in this news release or elsewhere after the date this release is issued. In light of these risks and uncertainties, investors should keep in mind that results, events or developments discussed in any forward-looking statement made in this news release may not occur.

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FINANCIAL TABLES FOLLOW

Use of Non-GAAP Measures

In addition to the results prepared in accordance with generally accepted accounting principles in the United States (GAAP) provided throughout this press release, Contura has presented the following non-GAAP financial measure: Adjusted EBITDA. The company uses Adjusted EBITDA to measure the operating performance of its segments and allocate resources to the segments. This non-GAAP financial measure excludes various items detailed in the attached reconciliation tables.

The definition of this non-GAAP measure may be changed periodically by management to adjust for significant items important to an understanding of operating trends. This measure is not intended to replace financial performance measures determined in accordance with GAAP. Rather, it is presented as a supplemental measure of the company's performance that management finds useful in assessing the company's financial performance and believes is useful to securities analysts, investors and others in assessing the company's performance over time. Moreover, this measure is not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies.

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENT OF OPERATIONS AND
CONDENSED PREDECESSOR COMBINED STATEMENT OF OPERATIONS
(Amounts in thousands, except share and per share data)

	Successor			Predecessor	
	Three Months Ended September 30, 2017	Nine Months Ended September 30, 2017	Period from July 26, 2016 to September 30, 2016	Period from July 1, 2016 to July 25, 2016	Period from January 1, 2016 to July 25, 2016
	Unaudited	Unaudited	Unaudited	Unaudited	
Revenues:					
Coal revenues	\$ 417,933	\$ 1,367,597	\$ 212,911	\$ 67,685	\$ 537,320
Freight and handling revenues	61,492	191,411	29,903	4,292	52,076
Other revenues	3,504	11,164	2,599	10,313	18,542
Total revenues	482,929	1,570,172	245,413	82,290	607,938
Costs and expenses:					
Cost of coal sales (exclusive of items shown separately below)	358,620	1,087,828	178,396	55,446	489,652
Freight and handling costs	61,492	191,411	29,903	4,292	52,076
Other expenses	1,326	3,752	1,092	726	4,893
Depreciation, depletion and amortization	15,154	49,431	22,230	10,659	85,379
Amortization of acquired intangibles, net	14,868	49,111	23,562	11,104	11,567
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	15,946	56,094	9,547	3,477	29,567
Asset impairment and restructuring	—	—	—	618	3,755
Secondary offering costs	1,061	4,499	—	—	—
Total other operating (income) loss:					
Mark-to-market adjustment for acquisition-related obligations	839	3,221	—	—	—
Gain on settlement of acquisition-related obligations	—	(9,200)	—	—	—
Total costs and expenses	469,306	1,436,147	264,730	86,322	676,889
Income (loss) from operations	13,623	134,025	(19,317)	(4,032)	(68,951)
Other (expense) income:					
Interest expense	(8,598)	(28,373)	(9,090)	(22)	(63)
Interest income	43	116	2	(22)	29
Loss on early extinguishment of debt	—	(38,701)	—	—	—
Equity loss in affiliates	(405)	(2,106)	(1,039)	(104)	(2,726)
Mark-to-market adjustment for warrant derivative liability	—	—	(16,552)	—	—
Bargain purchase gain	369	1,011	—	—	—
Miscellaneous income, net	51	278	201	9	683
Total other expense, net	(8,540)	(67,775)	(26,478)	(139)	(2,077)
Income (loss) before reorganization items and income taxes	5,083	66,250	(45,795)	(4,171)	(71,028)

Reorganization items, net	—	—	—	(4,773)	(31,073)
Income (loss) before income taxes	5,083	66,250	(45,795)	(8,944)	(102,101)
Income tax benefit (expense)	5,076	(8,369)	(1)	1,981	34,889
Net income (loss)	\$ 10,159	\$ 57,881	\$ (45,796)	\$ (6,963)	\$ (67,212)
Basic income (loss) per common share	\$ 0.99	\$ 5.62	\$ (4.44)		
Diluted income (loss) per common share	\$ 0.93	\$ 5.34	\$ (4.44)		
Weighted average shares - basic	10,277,974	10,298,889	10,309,310		
Weighted average shares - diluted	10,896,856	10,832,989	10,309,310		

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED BALANCE SHEETS
(Amounts in thousands, except share and per share data)

	Successor	
	September 30, 2017	December 31, 2016
	(Unaudited)	
Assets		
Current assets:		
Cash and cash equivalents	\$ 173,490	\$ 127,948
Trade accounts receivable, net of allowance for doubtful accounts of \$0 as of September 30, 2017 and December 31, 2016	178,979	182,600
Inventories, net	61,866	75,399
Assets held for sale	—	1,714
Prepaid expenses and other current assets	55,370	37,555
Total current assets	469,705	425,216
Property, plant, and equipment, net	326,247	317,013
Other acquired intangibles (net of accumulated amortization of \$110,962 and \$61,851 as of September 30, 2017 and December 31, 2016, respectively)	38,038	87,149
Long-term restricted cash	57,364	43,341
Long-term deposits	17,153	55,501
Other non-current assets	23,570	18,532
Total assets	\$ 932,077	\$ 946,752
Liabilities and Stockholders' Equity		
Current liabilities:		
Current portion of long-term debt	\$ 8,420	\$ 2,324
Trade accounts payable	107,298	98,166
Acquisition-related obligations - current	19,545	27,258
Accrued expenses and other current liabilities	91,310	90,864
Total current liabilities	226,573	218,612
Long-term debt	366,789	346,837
Acquisition-related obligations - long-term	44,476	59,088
Asset retirement obligations	199,528	187,097
Other non-current liabilities	63,637	97,894
Total liabilities	901,003	909,528
Commitments and Contingencies		
Stockholders' Equity		
Preferred stock - par value \$0.01, 2.0 million shares authorized, none issued	—	—
Common stock - par value \$0.01, 20.0 million shares authorized, 10.8 million issued and 10.5 million outstanding at September 30, 2017 and 10.3 million issued and outstanding at December 31, 2016	108	103
Additional paid-in capital	37,236	45,964
Accumulated other comprehensive income	1,018	2,087
Treasury stock, at cost: 0.3 million shares at September 30, 2017 and none issued at December 31, 2016	(17,447)	—
Retained earnings (accumulated deficit)	10,159	(10,930)
Total stockholders' equity	31,074	37,224
Total liabilities and stockholders' equity	\$ 932,077	\$ 946,752

CONTURA ENERGY, INC. AND SUBSIDIARIES
CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS AND
CONDENSED PREDECESSOR COMBINED STATEMENT OF CASH FLOWS
(Amounts in thousands)

	Successor		Predecessor
	Nine Months Ended September 30, 2017	Period from July 26, 2016 to September 30, 2016	Period from January 1, 2016 to July 25, 2016
	Unaudited	Unaudited	
Operating activities:			
Net income (loss)	\$ 57,881	\$ (45,796)	\$ (67,212)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:			
Depreciation, depletion and amortization	49,431	22,230	85,379
Amortization of acquired intangibles, net	49,111	23,562	11,567
Accretion of acquisition-related obligations discount	5,954	2,633	—
Mark-to-market adjustment for acquisition-related obligations	3,221	—	—
Gain on settlement of acquisition-related obligations	(9,200)	—	—
Bargain purchase gain	(1,011)	—	—
Equity loss in affiliates	2,106	1,039	2,726
Mark-to-market adjustment for warrant derivative liability	—	16,552	—
Accretion of asset retirement obligations	16,573	4,569	12,422
Employee benefit plans, net	8,459	1,180	11,917
Deferred income taxes	—	—	(34,889)
Asset impairment and restructuring	—	—	3,755
Non-cash reorganization items, net	—	—	3,837
Non-cash loss on extinguishment of debt	13,665	—	—
Stock-based compensation	11,946	1,941	658
Other, net	1,616	216	254
Changes in operating assets and liabilities	36,157	6,361	30,276
Net cash provided by operating activities	245,909	34,487	60,690
Investing activities:			
Capital expenditures	(56,403)	(12,773)	(23,433)
Proceeds from sale of property, plant and equipment	2,449	453	526
Capital contributions to equity affiliates	(4,160)	(870)	(2,122)
Cash acquired in acquisition	—	51,000	—
Purchase of additional ownership interest in equity affiliate	(13,293)	—	—
Other, net	(408)	—	—
Net cash (used in) provided by investing activities	(71,815)	37,810	(25,029)
Financing activities:			
Proceeds from borrowings on debt	396,000	—	—
Principal repayments of debt	(368,500)	—	—
Principal repayments of capital lease obligations	(798)	(83)	(42)
Debt issuance costs	(14,385)	—	—
Debt extinguishment costs	(25,036)	—	—
Common stock repurchases	(17,445)	—	—
Debt amendment costs	(4,520)	—	—

Proceeds from exercise of warrants	11	—	—
Special dividend paid	(92,786)	—	—
Principal repayments of notes payable	(1,093)	(167)	—
Transfers to Alpha	—	—	(35,780)
Net cash used in financing activities	(128,552)	(250)	(35,822)
Net increase (decrease) in cash and cash equivalents	45,542	72,047	(161)
Cash and cash equivalents at beginning of period	127,948	—	269
Cash and cash equivalents at end of period	<u>\$ 173,490</u>	<u>\$ 72,047</u>	<u>\$ 108</u>
Supplemental cash flow information:			
Cash paid for interest	<u>\$ 34,091</u>	<u>\$ 127</u>	<u>\$ —</u>
Cash paid for income taxes	<u>\$ 13,328</u>	<u>\$ —</u>	<u>\$ —</u>
Supplemental disclosure of non-cash investing and financing activities:			
Capital leases and capital financing - equipment	<u>\$ 735</u>	<u>\$ 751</u>	<u>\$ —</u>
Accrued capital expenditures	<u>\$ 9,169</u>	<u>\$ 6,374</u>	<u>\$ 13,376</u>
Issuance of equity in connection with acquisition	<u>\$ —</u>	<u>\$ 44,644</u>	<u>\$ —</u>

CONTURA ENERGY, INC. AND SUBSIDIARIES
ADJUSTED EBITDA RECONCILIATION
(Amounts in thousands)

Reconciliation of Non-GAAP measures:

	Successor					
	Three Months Ended September 30, 2017					
	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Net income (loss)	\$ 30,238	\$ (3,300)	\$ 3,724	\$ 613	\$ (21,116)	\$ 10,159
Interest expense	1	(264)	132	—	8,729	8,598
Interest income	(3)	—	—	—	(40)	(43)
Income tax benefit	—	—	—	—	(5,076)	(5,076)
Depreciation, depletion and amortization	2,736	4,544	7,650	—	224	15,154
Mark-to-market adjustment - acquisition-related obligations	—	—	—	—	839	839
Secondary offering costs	—	—	—	—	1,061	1,061
Bargain purchase gain	—	—	—	—	(369)	(369)
Accretion expense	1,461	1,041	3,022	—	—	5,524
Amortization of acquired intangibles, net	—	—	—	14,868	—	14,868
Adjusted EBITDA ⁽¹⁾	\$ 34,433	\$ 2,021	\$ 14,528	\$ 15,481	\$ (15,748)	\$ 50,715

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

Segment Information:

	Successor					
	Three Months Ended September 30, 2017					
	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 108,996	\$ 66,624	\$ 100,392	\$ 206,749	\$ 168	\$ 482,929
Depreciation, depletion, and amortization	\$ 2,736	\$ 4,544	\$ 7,650	\$ —	\$ 224	\$ 15,154
Amortization of acquired intangibles, net	\$ —	\$ —	\$ —	\$ 14,868	\$ —	\$ 14,868
Adjusted EBITDA ⁽¹⁾	\$ 34,433	\$ 2,021	\$ 14,528	\$ 15,481	\$ (15,748)	\$ 50,715
Capital expenditures	\$ 3,645	\$ 14,156	\$ 3,093	\$ —	\$ —	\$ 20,894

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

CONTURA ENERGY, INC. AND SUBSIDIARIES
ADJUSTED EBITDA RECONCILIATION
(Amounts in thousands)

Reconciliation of Non-GAAP measures:

	Successor					
	Nine Months Ended September 30, 2017					
	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Net income (loss)	\$ 128,584	\$ 41,855	\$ (276)	\$ 17,203	\$ (129,485)	\$ 57,881
Interest expense	(92)	(633)	293	—	28,805	28,373
Interest income	(8)	—	—	—	(108)	(116)
Income tax expense	—	—	—	—	8,369	8,369
Depreciation, depletion and amortization	13,447	11,206	24,139	—	639	49,431
Mark-to-market adjustment - acquisition-related obligations	—	—	—	—	3,221	3,221
Gain on settlement of acquisition-related obligations	—	—	—	—	(9,200)	(9,200)
Secondary offering costs	—	—	—	—	4,499	4,499
Loss on early extinguishment of debt	—	—	—	—	38,701	38,701
Bargain purchase gain	—	—	—	—	(1,011)	(1,011)
Accretion expense	4,384	3,123	9,066	—	—	16,573
Amortization of acquired intangibles, net	—	—	—	49,111	—	49,111
Expenses related to special dividend	377	57	67	—	9,102	9,603
Adjusted EBITDA ⁽¹⁾	<u>\$ 146,692</u>	<u>\$ 55,608</u>	<u>\$ 33,289</u>	<u>\$ 66,314</u>	<u>\$ (46,468)</u>	<u>\$ 255,435</u>

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

Segment Information:

	Successor					
	Nine Months Ended September 30, 2017					
	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 369,600	\$ 243,604	\$ 272,848	\$ 683,558	\$ 562	\$ 1,570,172
Depreciation, depletion, and amortization	\$ 13,447	\$ 11,206	\$ 24,139	\$ —	\$ 639	\$ 49,431
Amortization of acquired intangibles, net	\$ —	\$ —	\$ —	\$ 49,111	\$ —	\$ 49,111
Adjusted EBITDA ⁽¹⁾	\$ 146,692	\$ 55,608	\$ 33,289	\$ 66,314	\$ (46,468)	\$ 255,435
Capital expenditures	\$ 10,834	\$ 36,365	\$ 8,145	\$ —	\$ 1,059	\$ 56,403

⁽¹⁾ Our Adjusted EBITDA calculation has been modified to add back accretion expense, a non-cash expense, to align with industry peer group methodology.

CONTURA ENERGY, INC. AND SUBSIDIARIES
RESULTS OF OPERATIONS
(Amounts in thousands, except per ton data)

	Three Months Ended September 30, 2017	% of Total Revenues	Nine Months Ended September 30, 2017	% of Total Revenues
Revenues:				
Coal revenues:				
Steam	\$ 159,439	33.0%	\$ 494,458	31.5%
Met	258,494	53.5%	873,139	55.6%
Freight and handling revenues	61,492	12.8%	191,411	12.2%
Other revenues	3,504	0.7%	11,164	0.7%
Total revenues	\$ 482,929	100.0%	\$ 1,570,172	100.0%
Tons sold:				
Steam	10,362		29,822	
Met	2,389		6,855	
Total	12,751		36,677	
Coal sales realization per ton:				
Steam	15.39		16.58	
Met	108.20		127.37	
Average	32.78		37.29	

	Three Months Ended September 30, 2017	% of Total Revenues	Nine Months Ended September 30, 2017	% of Total Revenues
Coal revenues ⁽¹⁾:				
CAPP Operations	\$ 108,611	22.5%	\$ 368,586	23.5%
NAPP Operations	65,699	13.6%	240,700	15.3%
PRB Operations	98,755	20.4%	267,519	17.0%
Trading and Logistics Operations	144,868	30.0%	490,792	31.3%
Total coal revenues	\$ 417,933	86.5%	\$ 1,367,597	87.1%
Tons sold:				
CAPP Operations	1,026		3,074	
NAPP Operations	1,474		5,512	
PRB Operations	8,963		24,462	
Trading and Logistics Operations	1,288		3,629	
Coal sales realization per ton ⁽¹⁾:				
CAPP Operations	105.86		119.90	
NAPP Operations	44.57		43.67	
PRB Operations	11.02		10.94	
Trading and Logistics Operations	112.48		135.24	
Average	32.78		37.29	

⁽¹⁾ Does not include any portion of the price paid by our export customers to transport coal to the relevant outbound shipping port.

CONTURA ENERGY, INC. AND SUBSIDIARIES
RESULTS OF OPERATIONS
(Amounts in thousands, except per ton data)

	Three Months Ended September 30, 2017	% of Total Revenues	Nine Months Ended September 30, 2017	% of Total Revenues
Cost of coal sales (exclusive of items shown separately below)	358,620	74.3 %	1,087,828	69.3 %
Freight and handling costs	61,492	12.7 %	191,411	12.2 %
Other expenses	1,326	0.3 %	3,752	0.2 %
Depreciation, depletion and amortization	15,154	3.1 %	49,431	3.1 %
Amortization of acquired intangibles, net	14,868	3.1 %	49,111	3.1 %
Selling, general and administrative expenses (exclusive of depreciation, depletion and amortization shown separately above)	15,946	3.3 %	56,094	3.6 %
Secondary offering costs	1,061	0.2 %	4,499	0.3 %
Total other operating (income) loss:				
Mark-to-market adjustment for acquisition-related obligations	839	0.2 %	3,221	0.2 %
Gain (loss) on settlement of acquisition-related obligations	—	— %	(9,200)	(0.6)%
Total costs and expenses	\$ 469,306	97.2 %	\$ 1,436,147	91.5 %
Other (expense) income:				
Interest expense	(8,598)	(1.8)%	(28,373)	(1.8)%
Interest income	43	— %	116	— %
Loss on early extinguishment of debt	—	— %	(38,701)	(2.5)%
Equity loss in affiliates	(405)	(0.1)%	(2,106)	(0.1)%
Bargain purchase gain	369	0.1 %	1,011	0.1 %
Miscellaneous income, net	51	— %	278	— %
Total other expense, net	(8,540)	(1.8)%	(67,775)	(4.3)%
Income tax expense	5,076	1.1 %	(8,369)	(0.5)%
Net income	\$ 10,159	2.1 %	\$ 57,881	3.7 %
Cost of coal sales:				
CAPP Operations	76,027	15.7 %	227,672	14.5 %
NAPP Operations	65,645	13.6 %	191,357	12.2 %
PRB Operations	87,574	18.1 %	245,044	15.6 %
Trading and Logistics Operations	129,374	26.8 %	423,755	27.0 %
Tons sold:				
CAPP Operations	1,026		3,074	
NAPP Operations	1,474		5,512	
PRB Operations	8,963		24,462	
Trading and Logistics Operations	1,288		3,629	

Cost of coal sales per ton:		
CAPP Operations	74.10	74.06
NAPP Operations	44.54	34.72
PRB Operations	9.77	10.02
Trading and Logistics Operations	100.45	116.77

Coal margin per ton ⁽¹⁾ :		
CAPP Operations	31.76	45.84
NAPP Operations	0.03	8.95
PRB Operations	1.25	0.92
Trading and Logistics Operations	12.03	18.47

⁽¹⁾ Coal margin per ton for our reportable segments is calculated as coal sales realization per ton for our reportable segments less cost of coal sales per ton for our reportable segments. Coal margin per ton is not shown for our All Other category since it has no coal sales or coal production.

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